

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK A/S,
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
OCEAN NETWORK EXPRESS PTE. LTD., WAN HAI
LINES LTD., YANG MING MARINE TRANSPORT
CORP., AND ZIM INTEGRATED SHIPPING
SERVICES,

Respondents.

FMC Docket No. 20-14

RESPONDENTS' EXCEPTIONS TO INITIAL DECISION
PARTIALLY GRANTING SUMMARY DECISION

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RESPONDENTS' EXCEPTIONS TO INITIAL DECISION
PARTIALLY GRANTING SUMMARY DECISION

Pursuant to 46 C.F.R. §502.227 and the February 6, 2023 Initial Decision Partially Granting Summary Decision (“ID”), Ocean Carrier Equipment Management Association, Inc. (“OCEMA”), Consolidated Chassis Management LLC (“CCM”), CMA CGM S.A., COSCO Shipping Lines Co. Ltd., Evergreen Line Joint Service Agreement, FMC No. 011982 (“Evergreen”), Hapag-Lloyd AG, HMM Co. Ltd., Maersk A/S, MSC Mediterranean Shipping Company S.A., Ocean Network Express Pte. Ltd., Wan Hai Lines Ltd., Yang Ming Marine Transport Corp., and ZIM Integrated Shipping Services (collectively, “Respondents”) hereby except to the ID.

I. INTRODUCTION

This case involves the reasonableness of certain practices of Respondents in connection with the provision and use of intermodal chassis to transport containers on the U.S. inland leg of transport in oceanborne foreign commerce of the United States. The ID denied Respondents’ motion for summary judgment, and in large part granted Complainant’s motion. Among the more notable holdings in the ID are:

- Summary judgment in favor of the IMCC is warranted despite the existence of genuine issues of material fact and misapplication of the standards applicable to motions for summary judgment;
- Reaching the unprecedented conclusion that the Commission has jurisdiction over ocean common carrier contracts with unregulated chassis providers based primarily on a Supreme Court decision relating to the scope of the federal courts’ Admiralty jurisdiction under the U.S. Carriage of Goods by Sea Act, 46 U.S.C. §1300, *et seq.*;
- Ruling that the chassis providers are not indispensable necessary parties because the Complaint is not focused on their contracts and because relief can be narrowly crafted to minimize the impact on the chassis providers, then relying on those same contracts as a significant factor in determining that the challenged conduct is unreasonable and issuing a sweeping cease and desist order that essentially prohibits performance of the contracts that are purportedly not the focus of the Complaint;

- Applying no fewer than three separate legal tests to assess the reasonableness of Respondents' conduct, and making reversible errors in the application of all three; and
- Establishing a heretofore unknown right of motor carriers under some unspecified body of federal law to choose the chassis provider of their choice for MH moves, even when they are not paying for the chassis,¹ a right the ID suggests will trump even the right of the cargo interest employing the motor carrier.

As set forth in greater detail below, Respondents except to virtually all aspects of the ID, particularly those described above. The ID should be reversed for the reasons set forth in these exceptions.

II. THE ID DOES NOT COMPLY WITH THE LEGAL STANDARDS APPLICABLE TO EVALUATING MOTIONS FOR SUMMARY JUDGMENT

The ID should be reversed because it does not comply with the legal standards applicable to evaluating of motions for summary judgment.

A. The Applicable Legal Standard

Summary judgment is appropriate only when there are no genuine issues of material fact and the moving party is entitled to judgment as a matter of law. FRCP 56. In *Tolan v. Cotton*, 572 U.S. 650 (2014), the Supreme Court provided guidance in the application of FRCP 56:

[C]ourts may not resolve genuine disputes of fact in favor of the party seeking summary judgment . . . a “judge’s function” at summary judgment is not “to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.” *Anderson*, 477 U. S., at 249. Summary judgment is appropriate only if “the movant shows that there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law.” Fed. Rule Civ. Proc. 56(a). In making that determination, a court must view the evidence “in the light most favorable to the opposing party.” *Adickes v. S. H. Kress & Co.*, 398 U. S. 144, 157 (1970).

572 U.S. at 657. Similarly, the Supreme Court has held that:

[T]he court must draw all reasonable inferences in favor of the nonmoving party, and it may not make credibility determinations or weigh the evidence . . . “Credibility determinations, the weighing of the evidence, and the drawing of

¹ See, e.g., the accompanying Evergreen Exceptions to Denial of Motion for Summary Judgment.

legitimate inferences from the facts are jury functions, not those of a judge.” *Liberty Lobby*, supra, at 255. Thus, although the court should review the record as a whole, it must disregard all evidence favorable to the moving party that the jury is not required to believe. See *Wright & Miller* 299. That is, the court should give credence to the evidence favoring the nonmovant as well as that “evidence supporting the moving party that is uncontradicted and unimpeached, at least to the extent that that evidence comes from disinterested witnesses.” *Id.*, at 300.

Reeves v. Sanderson Plumbing Products, 530 U.S. 133, 150-151 (2000).

Here, the grant of summary judgment in favor of IMCC violates applicable law because the ID (i) expressly acknowledged that there are material facts in dispute; (ii) improperly weighed the evidence and in so doing drew inferences in favor of IMCC rather than construing evidence in the light most favorable to Respondents, the non-moving party; and (iii) improperly applied legal standards in a manner that precludes a finding that IMCC was entitled to judgment as a matter of law.

B. There Are Numerous Genuine Issues Of Material Fact, Some Of Which Are Expressly Acknowledged

The grant of summary judgment is improper because the ID expressly acknowledged that there are several genuine issues of material fact, and other material facts are clearly in dispute. A material fact is one which might affect the outcome of the suit under the governing law. *See, e.g., Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986).

Findings of fact are particularly important in this case because the reasonableness of conduct under the Shipping Act is a factual issue to be decided on the facts of each case. *See, e.g., Interpretative Rule on Demurrage and Detention Under the Shipping Act*, 85 *Fed. Reg.* 29638, 29647 (May 18, 2020)(guidance of interpretative rule not inconsistent with case-by-case adjudication of reasonableness, especially where Commission will consider all arguments raised in individual case); *New Orleans Stevedoring Company v. Board of Commissioners of the Port of New Orleans*, 2001 WL 865692 (Docket No. 00-11)(ALJ 2001)(determination of reasonableness

largely dependent upon specific facts rather than broad generalizations), *aff'd* 2002 WL 33836158 (FMC 2002); *All Marine Moorings, Inc. v. ITO Corporation of Baltimore*, 27 S.R.R. 539, 545 (FMC 1996). Where material facts are in dispute, a determination of reasonableness on a summary basis cannot be sustained.

The ID expressly acknowledged that at least three critical material facts are in dispute.

1. *Choice* – As an initial matter, the issue of choice is relevant only to pools operated by subsidiaries of OCEMA and managed by CCM in Savannah and Memphis. ID Findings of Fact 24, 25, 32 and 33; ID at 36²; CX00001543-44. OCEMA, CCM, and the Respondent ocean carriers collectively have no involvement in the POP or in neutral pools operated by individual IEPs in the Chicago area. ID Findings of Fact 24, 31 and 34; ID at 54. Having said this, it is clear that there is a genuine dispute of material fact with respect to the frequency with which choice is requested and granted at those locations where it is relevant:

The parties dispute, as a factual matter, the extent to which various ocean carriers permit or deny exception requests. Resolving this issue would require a factual determination not appropriate at the summary decision stage of the proceeding.

ID at 36. It also notes:

At this point, it is more appropriate to focus on the policy rather than specific instances of particular choice requests.

ID at 38. As noted above, reasonableness is a question of fact, and summary judgment is only appropriate when there are no genuine issues of material fact. Here, the ID disregards both of these legal principles and finds that Rules 5.5 and 5.7 are unreasonable and more restrictive than necessary without making any determination whatsoever of the extent to which these rules actually impact choice. What fact could possibly be more material to a determination of the reasonableness of the conduct at issue than the impact of conduct on choice? Yet, the ID intentionally and

² CX00001544.

improperly avoids this issue and the extensive evidence cited by Respondents on the issue of choice. CX00001545-49; Declaration of Douglas J. Coates dated April 29, 2022 (“Coates Declaration”), ¶ 21 and deposition testimony of carrier witnesses cited therein. Moreover, the ID focuses on general policy rather than facts, contrary to the admonition of *New Orleans Stevedoring Company, supra.*, that reasonableness is a question of fact rather than of speculation, unsupported inference, and generalization.

Moreover, without finding any facts, the ID erroneously finds that IMCC has established that these Rules “limit the ability of motor carriers to utilize the chassis provider they prefer for MH, because their requests must be approved” (ID at 42) and that Rule 5.7 is an agreement among the carriers that they must approve requests for choice. ID at 41. Neither of these findings is supported by any citation to any facts in the record, and both are flatly contradicted by Respondents’ evidence. CX00001545-59; Coates Declaration, ¶ 21.

2. *Contractual Linkage of CH and MH* - The ID holds that it is unreasonable for ocean carriers to structure chassis usage contracts with chassis providers so that CH prices are based upon the total CH and MH volumes, that this linkage of CH and MH volumes to CH pricing is a violation of the Shipping Act, and grants summary judgment in favor of Complainant on this issue. After concluding that the purported linkage of CH and MH in contracts between the ocean carriers and chassis providers is unreasonable, the ID goes on to admit that this finding is without any basis whatsoever in fact and is thus wholly inappropriate:

At this stage of the proceeding, it cannot be determined which Respondents may have violated this provision in particular markets as the factual basis for these determinations is disputed.

ID at 47. In other words, the ID holds a form of conduct to be unreasonable without assessing the factual impact of that conduct and without identifying any Respondent that is actually engaged in

that conduct at any particular location.³ There cannot lawfully be a finding of unreasonable conduct without factual findings on the impact of that conduct. The grant of summary judgment is contrary to applicable law.

3. *Designation of IEP for MH in Chassis Usage Agreement* – Here, once again, the ID grants summary judgment on a preconceived policy basis and without finding facts, concluding that chassis usage agreements that grant preferred status to the chassis provider are reasonable, but that chassis usage agreements that grant exclusive status to the chassis provider are unreasonable. ID at 48.⁴ This pronouncement is once again made in a vacuum – there is no finding as to which chassis usage agreements grant exclusivity as compared to preference, how one distinguishes between such agreements, or which Respondents are parties to which type of agreement in which location. Summary judgment on an issue of reasonableness cannot be sustained when the purported analysis is devoid of factual support.

As noted, the ALJ makes blanket findings of violations by Respondents collectively without identifying with factual particularity the actions and conduct allegedly committed individually by each Respondent. Such blanket findings violate 46 CFR §502.223 which requires “the reasons or basis therefor, upon all the material issues presented on the record, and the appropriate rule, order, sanction, relief, or denial thereof.” Each Respondent is entitled by law to each such finding, particularly where facts in this proceeding demonstrate that each Respondent’s conduct is factually disparate from other Respondents, and each Respondent’s agreements with IEPs contain materially different terms and conditions.

³ The ID also fails to define a product market (ID at 44), leaving open yet another issue of material fact.

⁴ Of note, the North American Chassis Pool Cooperative (“NACPC”), the chassis provider owned and controlled by the same small group of large motor carriers who control the IMCC, enters into chassis usage agreements that are exclusive. APP0100-01; APP0102-04; APP0105-13. In other words, the very members who control the Complainant are effectively engaged in the conduct that the ID finds to be unlawful.

4. The Provision of Chassis By Motor Carriers

There is a genuine issue of material fact with respect to the issue of chassis provided by motor carriers (often referred to as “trucker-owned wheels” or “TOW”).⁵

Page 45 of the ID states that “it is not cost effective for motor carriers to own or long-term lease chassis if they pick up a mix of CH and MH shipments as ocean carriers may not compensate them for the chassis for CH containers and there may be additional costs and delays, for example from flips.” There are two problems with this statement. First, it is contradicted by other findings in the ID and by evidence in the record. For example, Finding of Fact #30 at p. 17 of the ID finds that the three major IEPs and several smaller IEPs all lease chassis to motor carriers. Why are motor carriers leasing chassis if doing so is not cost effective? There is also evidence in the record that motor carriers can and frequently do provide their own chassis, whether owned or leased. Reitzes Report, ¶¶16, 18, and 100 (CX00001632 and 00001669); Reitzes Declaration dated May 27, 2022 (“Reitzes Declaration”), ¶¶27-34; CX00001538. In some regions, nearly half of all chassis are provided by motor carriers. *Id.*

Given the conflicting evidence in the record, there is a genuine issue of material fact with respect to the ability of motor carriers to provide their own chassis and the feasibility of them doing so at various locations. Because a genuine issue of material fact exists with respect to this issue, summary judgment on the reasonableness of Respondents’ chassis practices is impermissible and should be reversed.

The genuine issues of material fact identified above in and of themselves, require reversal of the grant of summary judgment.

⁵ “TOW” refers not only to chassis owned by motor carriers, but also to chassis which are leased to a motor carrier on a long-term or short-term basis.

C. **The ID Impermissibly Weighed The Evidence And Improperly Failed To Construe The Evidence In The Light Most Favorable To The Non-Moving Party**

When deciding a motion for summary judgment, a judge's function is not to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial. *Anderson*, 477 U. S., at 249. Here, the ALJ went well beyond what is appropriate at the summary judgment stage and improperly determined the credibility of conflicting witness testimony and other evidence on a variety of issues, and also failed to construe evidence in the light most favorable to Respondents on several occasions.

The most notable instances of improper weighing of evidence to reach a conclusion (as compared to determining whether an issue of fact exists) and/or failing to construe evidence in the light most favorable to Respondents include the following.

1. *Discussion of Choice, p. 37 of ID* – In the second paragraph on page 37, the ID notes that choice practices vary among ocean carriers. In the third paragraph, the ID notes Respondents' contention that choice requests are infrequent and are usually granted. This creates the genuine issue of material fact that the ID concedes exists with respect to choice. ID at 36. However, the ID nonetheless goes on to find that choice is restricted and that Respondents must justify their practices. ID at 38, 42. This analysis fails to construe the evidence regarding choice in the light most favorable to Respondents and also improperly weighs that evidence to reach a conclusion requiring the Respondents to justify their practices.

2. *Justification of Practices, pp. 38-42 of ID* – The discussion of Respondents' justifications for chassis practices constitutes an inference based on a weighing of evidence rather than to determine if a genuine issue of material fact exists. In particular, the determination that the existing practices are more restrictive than necessary fails to construe evidence in the light

most favorable to Respondents by discounting the testimony of Respondents' experts. CX00001554-55; CX00001541-43.

3. *Market Impact of So-Called CH/MH Linkage, pp. 43-46 of ID* - Here, the ID improperly weighs the evidence to conclude that the alleged linkage of CH/MH volumes limits the ability of motor carriers to negotiate volume discounts and thus requires Respondents to justify the practice. ID at 46. The ID then fails to construe the evidence in the light most favorable to Respondents by finding the justifications to be insufficient, despite evidence that motor carriers can negotiate discounts. CX00001553; APP0330-34; APP0335-50.

4. *POP Box Rules, pp. 54-55 of ID* - The ID improperly fails to construe the evidence in the light most favorable to Respondents when it rejects Respondents' arguments that the POP establishes and enforces its own rules and improperly weighs the evidence when it concludes that the POP could not operate as it does without the consent of ocean carriers.

5. *Trucker-Owned Wheels, pp. 45 and 55 of ID* - In the third full paragraph on page 45, the ID improperly fails to construe facts in favor of Respondents by ignoring the testimony of Respondents' expert and improperly weighs evidence to conclude that it is not cost effective for motor carriers to own or long-term lease chassis. CX00001553; APP0330-34; APP0335-50; CX00001538. This improper approach to the issue of so-called trucker-owned wheels is repeated in the third full paragraph on page 55.

In short, the ID repeatedly construes facts in the light most favorable to IMCC when considering IMCC's motion for summary judgment instead of in the light most favorable to Respondents. Moreover, the ID improperly weighs evidence to reach conclusions, rather than limiting its analysis of the evidence to determining whether a genuine issue of material fact exists.

This misapplication of the summary judgment standards requires reversal of the grant of summary judgment in favor of IMCC.

D. The ID Erred In Concluding IMCC Is Entitled To Summary Judgment As A Matter Of Law

A grant of summary judgment is appropriate only when the movant is entitled to judgment as a matter of law. A movant is entitled to judgment as a matter of law only when the controlling law dictates the outcome in the absence of any genuine dispute as to any material fact. 11 Moore's *Federal Practice*, §56.21. In other words, summary judgment is appropriate when the controlling law requires that the moving party must prevail as a matter of law. *Anderson v. Liberty Lobby, Inc.*, *supra*. To illustrate this principle, Moore's provides the following example:

For example, if a claim turns on the reasonableness of a party's conduct, the controlling law might not definitively require a finding for either side, not even when there is an agreed set of facts.

Id. Because the ID improperly applies the Commission jurisprudence on exclusive arrangements, does not apply the "end in view" standard, and contains numerous other inconsistencies, IMCC is not entitled to judgment as a matter of law.

1. *The ID Improperly Uses The Commission's Jurisprudence On Exclusive Arrangements*

The ID improperly relies on the Commission's jurisprudence on the reasonableness of exclusive arrangements. As explained below, this is not the appropriate test to use in assessing the reasonableness of Respondents' conduct and thus IMCC is not entitled to judgment as a matter of law.

(a) *This Is Not A Case Involving Exclusive Arrangements*

According to the ID, exclusive arrangements are generally undesirable and, in the absence of justifications by their proponents, such arrangements may be unlawful under the Shipping Act. ID at 32. This approach appears to be rooted in antitrust law, and the ID cites *Sanofi-Aventis U.S.*,

LLC v. Myland, Inc., 44 F.4th 959, 983 (10th Cir. 2022) for the proposition that the primary concern with exclusive arrangements is that they may be used by a monopolist to strengthen its position, which may ultimately harm competition. ID at 32. The ID omits the next paragraph in the *Sanofi-Aventis* decision, which reads:

“Despite some initial confusion, today exclusive dealing contracts are not disfavored by the antitrust laws.” *E. Food Servs.*, 357 F.3d at 8. Courts repeatedly explain that exclusive dealing agreements are often entered into for entirely procompetitive reasons and pose very little threat to competition even when utilized by a monopolist. *See, e.g., Tampa Elec. Co. v. Nashville Coal Co.*, 365 U.S. 320, 333, 81 S. Ct. 623, 5 L. Ed. 2d 580 (1961); *Jefferson Par. Hosp. Dist. No. 2 v. Hyde*, 466 U.S. 2, 45, [*984] 104 S. Ct. 1551, 80 L. Ed. 2d 2 (1984) (O'Connor, J., concurring in the judgment); *ZF Meritor*, 696 F.3d at 270; 11 Areeda & Hovenkamp, *supra*, ¶ 1810, at 161 (“Exclusive-dealing arrangements can produce beneficial results greatly exceeding their potential for harm.” For example, exclusive deals might ensure a buyer with a predictable source of inputs from an otherwise volatile supply market, *United States v. Am. Can Co.*, 230 F. 859, 883 (D. Md. 1916); enable buyers to group repeat purchases into a single contract to reduce the cost of using the market, 11 Areeda & Hovenkamp, *supra*, ¶ 1811c; or prevent distributors from free riding on a manufacturer's promotional investments, Howard P. Marvel, *Exclusive Dealing*, 25 J.L. & Econ. 1, 7 (1982). *See also* Robert H. Bork, *The Antitrust Paradox* 303 (1978); Richard A. Posner, *Antitrust Law* 230 (2d ed. 2001). Thus, exclusive dealing contracts are “frequently upheld when challenged on antitrust grounds.” *Race Tires Am.*, 614 F.3d at 76 (citing *E. Food Servs.*, 357 F.3d at 8; *Barr Labs., Inc. v. Abbott Labs.*, 978 F.2d 98, 111 (3d Cir. 1992)). In fact, some courts and commentators suggest exclusive dealing contracts should be treated as “presumptively lawful in all but a few carefully defined circumstances.” 11 Areeda & Hovenkamp, *supra*, ¶ 1810, at 161; *see E. Food Servs.*, 357 F.3d at 8; Bork, *supra*, at 303.

In other words, the ID’s treatment of exclusive arrangements appears to reflect an outdated and incorrect interpretation of the antitrust law from which it was developed. For this reason, even if Respondents’ conduct constitutes exclusive dealing (which, as explained below, it does not), the ID erred in requiring Respondents to justify their conduct.⁶ Moreover, the pro-competitive benefits of exclusive arrangements cited by *Sanofi* are precisely the types of considerations that underlie

⁶ The ID’s reliance on *FMC v. Aktiebolaget Svenska Amerika Linien*, 390 U.S. 238, 243 (1968), ID, 28, 29, 31, is wholly misplaced, as this decision was “overruled” by subsequent legislation governing the filing and effectiveness of agreements subject to FMC jurisdiction.

provisions of the chassis usage agreements (e.g., ensuring an adequate supply of chassis, reducing costs, and avoiding free riding).

Even if the ID's legally flawed approach to evaluating exclusive arrangements were sustained, application of that test in this case still does not support a grant of summary judgment in favor of Complainant. The ID acknowledges that this case is distinguishable from previous Commission decisions involving exclusive arrangements, all of which involved public ports or marine terminal operators. ID at 34. There is a critical difference between an exclusive arrangement involving a port or marine terminal and the conduct at issue in this proceeding.⁷ A terminal or port is a physical facility, and exclusive arrangements in that context deny competitors of the exclusive franchisee the ability to compete for the provision of services at that facility (such as tug services or line handling). The same is not true here. Even if the Commission accepts the ID's characterization of Respondents' practices with respect to chassis (which it should not due to the material factual distortions and omissions in the findings of fact set forth in the preceding section), such practices do not impede the ability of motor carriers to compete with one another for CH or MH cargoes at any facility. Thus, application of the Commission's exclusive arrangement jurisprudence is inappropriate and does not support a grant of summary judgment.

Even if reliance on the exclusivity line of cases is appropriate, a grant of summary judgment in favor of Complainant is improper under that precedent for two reasons. First, as noted in the ID, the primary concern with exclusive arrangements is that they may be used by a monopolist to strengthen its position. ID at 32. Here, the ID does not find Respondents to be monopolists. Nor

⁷ “. . . [I]n marine terminal cases involving allegedly monopolistic or anticompetitive practices, in which the Commission has gone both ways in deciding their lawfulness, the Commission has recognized that the cases are fact-dependent and that the Commission must weigh any harm flowing from the restrictive practice against respondents' justifications. See *Motions to Dismiss or to Vacate Show Cause Order Denied*, cited above, October 29, 2001, at 4, citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 766-767 (1999).” FMC Docket No. 01-06, *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River*, 30 SRR 79, 85 (ALJ 2003).

could it, based on the record which clearly shows that in CCM pools a majority of carriers allow for a choice of chassis providers (CX00001545-49; Coates Declaration, ¶ 21 and deposition of carrier witness testimony cited therein) and that motor carriers can provide their own chassis. Reitzes Report, ¶¶ 26-29 (CX00001634-00001635); 33 (CX00001638). Moreover, such a finding is precluded by the express refusal of the ID to define a product market.⁸ ID at 44. There can be no finding of monopolization without a definition of both a geographical market and a product market. *Brown Shoe Co. v. U.S.*, 370 U.S. 294, 324 (1962); CX00001279. In fact, in the four markets examined, not a single one involves anything remotely resembling monopolization.

(b) Reliance On The Exclusive Arrangement Test Improperly Shifts The Burden Of Proof

The use of the Commission’s exclusive dealing line of cases in this proceeding improperly shifts the burden of justifying the reasonableness of current practices to Respondents. This is legal error. The Commission should overturn the grant of summary judgment and remand the case to the Presiding Officer for further proceedings and a determination based on the Commission’s normal standard for determining the reasonableness of challenged conduct: whether the conduct is “otherwise lawful but not excessive and which is fit and appropriate to the ends in view.”

(c) Respondents Have Justified Their Practices

To the extent the ID applies the standard used in the Commission’s jurisprudence on exclusive arrangements and requires Respondents to justify their practices, they have done so.

In this regard, the ID incorrectly finds that the ocean carriers’ interest in ensuring a sufficient supply of safe chassis is not an adequate justification for Respondents’ practices because

⁸ Further, there is a factual dispute between the respective economists as to what the product market is, in this case. See Reitzes Declaration dated May 27, 2022; CX00001668-71 (distinguishing ocean carrier chassis use with motor carrier chassis use); compare with CX1278-95 (opining that similarities between the two types of use exist).

motor carriers share that interest. ID at 38-39. The ID's analysis misses the point. On some level, it is in the interest of everyone -- the shipper, the consignee, the ocean carrier, the motor carrier, and the general public -- that there be an adequate supply of safe chassis. The point Respondents were making, and that the ID completely and quite shockingly disregarded, is the uncontroverted fact that ocean carriers are the *only parties making the financial commitment to ensure that the chassis providers furnish an adequate supply of chassis to safely and timely transport Respondents' containers, for both CH and MH movements*. In most countries, motor carriers provide the chassis for all moves. CX00001530-31. This is not the case in the U.S. As a result, without the commitment of the ocean carriers, there is no practical way adequate chassis volumes will be available at marine and rail terminals in the U.S. CX00001554-55.

Complainant is trying to sell the Commission a bill of goods, arguing that any restriction on choice increases costs in the market for MH chassis (ID at 35) and suggesting that by legally requiring ocean carriers to structure their operations in a manner that is most favorable to motor carriers, the cost of MH chassis would go down. This is wrong for three reasons.

First, as the ID acknowledged, mandating choice will not necessarily result in lower costs. ID at 35. There are no facts contradicting this observation.

Second, as Respondents demonstrated, motor carriers do not merely pass chassis costs along to their customers, but actually mark-up the cost of chassis. Coates Declaration, ¶¶35-36; APP0163, Lines 12-21. There is nothing in the record which would support the conclusion that motor carriers will cease marking up chassis prices or otherwise reduce the cost of MH service if choice is required. In fact, if the ocean carriers pull back from the existing commitments that make an adequate supply of chassis available at ports and rail ramps, then logically motor carriers will have greater market power to increase these mark-ups.

Third, Complainant's entire case is based on the assumption that, if choice is allowed and CH/MH are no longer "linked" in chassis usage agreements, the same number of chassis will be available in the same locations for the same or a lower price than at present. In other words, that the *status quo* would remain unchanged, except now motor carriers would have a choice of chassis providers. As explained below, this assumption is simply incorrect and disingenuous, and irresponsibly disregards serious risks for the U.S. supply chain.

Chassis providers make a considerable financial investment in their chassis assets. Like most businesses, they seek to deploy those assets in a manner that will provide them with a profitable return on their investment. A chassis provider whose chassis are deployed in a location where they are not used and do not generate revenue will soon remove those chassis to where they will generate more revenue. Under the *status quo*, each chassis provider places chassis at locations where they are needed and will be used based on contractual assurances from its ocean carrier counterparty that those chassis will be utilized. Those contractual assurances also impose obligations on the ocean carriers, including obligations to pay for repositioning of chassis (for example). See, e.g. APP0756; APP0761-62; APP0767; APP0774; APP0983; APP0995; APP1312-13; APP1318-35.

If existing chassis usage agreements must be revised as required by the ID, then chassis providers will no longer have assurances of chassis usage from the ocean carriers for more than their CH needs. It will be up to shippers and motor carriers to arrange for the thousands of chassis needed to meet MH requirements. The chassis providers will need to rely on commitments from shippers or the motor carriers the shippers hire. There is no evidence in the record, or in the more than 50 years of intermodal activity, of any wide-scale willingness of shippers, consignees and/or motor carriers to undertake this responsibility. And notably, IMCC, which purports to represent

at least the large motor carriers involved in container transport, has never said its members would fill that void. So who will be willing or able to make the same type of commitments that the ocean carriers have made? Will every shipper enter into contracts with IEPs for MH chassis? Will motor carriers do so? And, in the unlikely event this scenario actually comes to pass, will it actually reduce overall system costs? It may be feasible for some motor carriers such as the large carriers in IMCC to secure chassis for their immediate customer needs—albeit with markups in cost. But for the majority of motor carriers, most not in IMCC, how will they get chassis? The answer apparently is through the NACPC rental company owned and controlled by the truckers who control IMCC. Will motor carriers be paying for repositioning? Will they make commitments to the chassis providers sufficient to ensure an adequate supply of chassis for all MH cargoes and assume the financial responsibilities currently borne by the ocean carriers? Or do they simply expect the *status quo* to remain unchanged, with someone else shouldering the costs and obligations currently borne by the ocean carriers? Everything in the record indicates it is the latter. The Commission should not facilitate such a system, particularly when the impact could destabilize the supply chain.

Moreover, the requirements imposed by the ID raise very serious questions when one considers how they would be implemented. For example, railroads operating wheeled facilities require that the company furnishing the container also furnish an adequate supply of chassis for their containers at such facilities. CX00000700-08.⁹ The ID makes it the legal responsibility of the motor carrier and its customer to furnish a chassis for an MH move. Unless the Commission is able to assert jurisdiction over railroads and the IEPs, it is unclear how this scenario will be

⁹ Under 46 C.F.R. §502.226, the Commission make also take official notice of public rail circulars that establish such requirements. For example, see Rule 4.6 at http://www.nscorp.com/content/dam/nscorp/ship/shipping-tools/intermodal_rules_circular.pdf (last visited March 2, 2023).

addressed under the brave new world established by the ID. If the solution is to exempt wheeled rail ramps from the mandates of the ID, then that is simply an admission that Respondents are correct in saying that there are sound commercial and operational reasons for the *status quo*, i.e., that the *status quo* is reasonable.¹⁰

The ID ignores the sound commercial and operational justifications for the status quo based solely on the unsupported observation that the interests of motor carriers and ocean carriers align and that the motor carriers have the same interest in providing chassis as do the ocean carriers. This proceeding is evidence that this is an erroneous conclusion.

The evidence of record supports the notion that absent the commitments presently made by the ocean carriers, there is a substantial risk that there will be a disruption in the supply of chassis and hence the U.S. supply chain. CX00001554-55. There will also be operational problems such as those outlined above. If that is the case, how could such actions be viewed as unreasonable and unlawful, when nothing is offered in place of the current system, which is itself largely mandated by entities – IEPs and railroads – not under FMC jurisdiction?

(d) Absence of Harm to IMCC Members Is Probative of Reasonableness

There is no dispute that Complainant did not seek reparations in this case; however, its Complaint alleged that its members sustained damages of “as much as \$1.8 billion during the three years prior to the filing of the complaint.” Complaint, ¶¶ 4, 82. The non-party discovery which Respondents took of IMCC members confirmed that this allegation was false and that not only had IMCC members not sustained damages, but that they routinely marked up chassis usage charges and made significant profits on these charges.

¹⁰ Alternatively, perhaps the Commission intends to assert jurisdiction over contracts between ocean carrier-railroad contracts just as it is doing with ocean carrier-chassis provider contracts.

Showing that the practice or regulation being challenged is the proximate cause of loss is a necessary element of a claim under section 41102(c). *See*, 46 C.F.R. §545.4(e). The ALJ erred because she did not consider this absence of harm when determining the reasonableness of the practices which are challenged by IMCC in this proceeding. A brief summary of the evidence which the ALJ improperly ignored is discussed below.

The undisputed evidence adduced to the ALJ showed that motor carriers are not harmed because they mark-up chassis costs and collect more from their customers for chassis than they pay to IEPs. Evidence produced by the motor carriers from which Respondents obtained discovery via subpoena show that significant mark-ups and profits were realized by the IMCC members. CX00001550-52; Coates Declaration, ¶¶35-6. The available motor carrier data which shows both revenue and cost demonstrated that the markup on average amounted to a premium to shippers of 46% above chassis costs. CX1552; Coates Declaration, ¶¶35-6. And, the founder and CEO of one of the IMCC's largest members candidly admitted the profitable mark-up of chassis usage charges: "Yeah, that's what we're into business for, to make a profit." APP0164; APP0196-0228. Significantly, the evidence before the ALJ confirmed that motor carriers imposed these mark-ups even when they are provided with a chassis free of charge (e.g., by Evergreen) or at low cost through contractual arrangements with IEPs. CX00001552; Coates Declaration, ¶36.

Given the irrefutable evidence that motor carriers charge their customers more for the use of MH chassis than the motor carriers pay the IEPs, the ALJ erred by failing to consider that the absence of harm to motor carriers was probative of the reasonableness of the practices that are the subject of the Complaint. This case should be remanded with an instruction that this evidence be considered on the factual issue of reasonableness.

Before the FMC interprets the Shipping Act in a manner that requires ocean carriers to operate their businesses in the manner most favorable to motor carriers (rather than for their customers who are paying the freight), absorb motor carrier costs that cannot be recovered, and undergo a wholesale change in the way that free market forces have determined that chassis are made available, it should carefully consider whether the changes required by the ID actually serve the supply chain and the shipping public. The factual record contradicts any such conclusion. Certainly, this is not a decision that should be made in a summary fashion.

2. *The ID Acknowledges The Applicability Of The “End In View” Standard, But Does Not Actually Apply It*

In non-exclusive settings, the Commission considers conduct reasonable if it is “otherwise lawful but not excessive and is fit and appropriate to the end in view.” *Distribution Services Ltd. v. Trans-Pacific Freight Conference of Japan*, 24 S.R.R. 714 (1988); *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525 (1966). While the ID acknowledges this test, it does not actually apply it. Moreover, to the extent the ID invokes the “end in view” standard for reasonableness, it does so in a manner that is inconsistent with legal precedent and which precludes a finding that IMCC is entitled to judgment as a matter of law.

a) The ID Fails To Specify A Clear “End In View”

One of the critical elements of the “end in view” test is defining that term. How one defines the “end in view” goes a long way to determining whether the conduct under review is reasonable. Unfortunately, the ID fails to adopt a clear and consistent definition of the “end in view.”

When the ID discusses the scope of the Commission’s jurisdiction, the end in view appears to be ensuring an efficient and economic transportation system. ID at 14. However, when it comes time to assess Respondents’ conduct, suddenly the end in view is the much narrower end of ensuring a supply of CH chassis. ID at 35. Then the end in view suddenly shifts back to the

efficient and economic transportation system. ID at 41. Without a clear and consistent definition of the end in view, one cannot find that the IMCC is entitled to judgment as a matter of law.

There are also other problems with the manner in which the ID applies the “end in view” test. If the end in view is an efficient and economic transportation system, then the ID has erred in two significant respects. First, the Presiding Officer ruled earlier in this proceeding that:

Complainant’s focus on efficiency may also be misplaced. While the Commission may have an interest in efficiency, it will be Complainant’s obligation to establish that the regulations and practices are unreasonable, not Respondents’ obligation to establish that the practices are the most efficient.

Order Denying Respondents’ Motion for Leave to file Interlocutory Appeal (January 29, 2021) at 6. Using efficiency as the “end in view” in this decision appears to be inconsistent with the previously established law of the case. Second, if the “end in view” is truly an efficient and economic transportation system, then the ID has erred in dismissing the justifications offered by Respondents and in placing such a priority on advancing the financial interests of motor carriers. An analysis focused on an efficient and economic transportation system would necessarily take a broader view of the pros and cons of both the *status quo* and the rather odd “choice” system advocated by Complainant and the ID, which appears to require ocean carriers to make chassis available at all marine and rail locations at ocean carrier cost for both MH and CH moves, regardless of whether the motor carrier wishes to use such chassis. The cavalier dismissal of broader considerations indicates that the “end in view” was in fact not an efficient and economic transportation system, and that the actual “end in view” remains unclear.

E. The Confused Legal Analysis Precludes Summary Judgment

Reasonableness is a question of fact and is the very type of issue that Moore’s (*supra*) suggests may not readily lend itself to judgment as a matter of law. The inherent difficulties associated with applying a reasonableness standard in the summary judgment context are

exacerbated by the lack of clarity as to the legal standard being applied by the ID. It is unclear if the ID is applying the exclusivity standard, the end in view standard, both, or a combination of the two. The end in view is also not clearly and consistently defined. These inconsistencies in the application of a legal standard to analyze the conduct herein at issue make it impossible to conclude that Complainant is entitled to judgment as a matter of law and makes the grant of summary judgment in favor of Complainant improper.

F. The ID Is Rife With Other Analytical Inconsistencies That Preclude Summary Judgment

The ID also contains a number of other analytical inconsistencies that preclude a finding that IMCC is entitled to judgment as a matter of law, and hence the grant of summary judgment.

1. Rule 5.7 Permits, Rather Than Restricts, Choice; Lack of Monopoly

Rule 5.7 is only relevant in this proceeding at the CCM pools at two locations: Savannah and Memphis. As noted above, OCEMA and CCM have no role or involvement in the POP or in pools in the Chicago area. The ID found that Rule 5.7 grants the selected IEP an exclusive right to provide chassis, or a *de facto* mini-monopoly. ID at 37. This finding is in error for two reasons: the factual record does not support a finding of a “mini-monopoly,” and the CCMP rules clearly are designed to permit rather than restrict choice.

With respect to the latter issue, CCMP Rules 5.5 and 5.7 provide:

5.5 Usage Days will be assigned by default to the User associated with the Container Line Operator for the container loaded on a Chassis, (i.e., to either the User itself or to the User for whom the Container Line Operator is a customer).

5.7 Notwithstanding Section 5.5, under the Choice Program, Usage Days may be directed to another User when the Container Line Operator and the User for whom the Container Line Operator is a Customer authorize a deviation from the default assignment. To utilize this program, the Container Line Operator must notify CCM that it allows exceptions: at the shipment level (based on booking or bill of lading reference); upon request and approval; based on the motor carrier (for merchant haulage moves); or for all merchant haulage moves (provided the Container Line Operator provides CCM with access to shipment data sufficient to make such assignments).

APP1820-21.

The ID finds that “there is no need for a clause allowing carriers to restrict chassis choice,” ID at 37, apparently on the grounds that if the carriers weren’t trying to restrict choice, they wouldn’t need Rule 5.7. This conclusion relies on the rationale of *Transshipment and Apportionment Agreement from Indonesian Ports to U.S. Atl. And Gulf Ports*, 10 FMC 183 (FMC 1966). In that case, the Commission interpreted an agreement provision which would have precluded the single originating carrier operating between Indonesian outports and Indonesian base ports from contracting with any international carrier operating between Indonesian base ports and the U.S. that was not a member of the carrier conference that entered into the agreement. This would have had the effect of precluding any non-conference carrier from entering the Indonesian trade. The Commission was of the view that if the conference carriers were not concerned about potential non-conference competition, there would be no need for the agreement provision in question. It is this rationale upon which the ID relied in concluding that the purpose of Rule 5.7 is to limit choice.

The ID’s reliance and conclusion is wholly misplaced for two reasons. First, the agreement provision in *Transshipment* was an express prohibition on the sole originating carrier using non-conference carriers. However, Rule 5.7 is permissive, not prohibitive. It allows an ocean carrier to decide whether to designate open selection by motor carrier or not. As noted above, the record demonstrates that choice is commonly allowed, often without prior approval. Second, the principles of document interpretation require that provisions in a document be interpreted in the context of the document as a whole, and that provisions be construed in a manner that gives meaning to each of them. *American Marine Tech., Inc. v. M/Y Alchemist*, 526 F. Supp 1236, 1247-48 (S.D. Fla. 2021) (internal citations omitted). If carriers wanted to prevent choice, they could

have adopted Rule 5.5 and omitted Rule 5.7. In such case, there would be no choice and no need to provide for the alleged “veto.” In light of this, and the plain language of Rule 5.7 (“Notwithstanding Section 5.5”), Rule 5.7 must be viewed as creating and facilitating choice rather than as restricting or limiting choice. The fact that approval is required is, as the language of Rule 5.7 requiring the carrier to provide certain information to the pool manager indicates, an administrative requirement necessary to maintain efficient operation and administration of the pool rather than an agreement to restrict choice.¹¹

The ID apparently did not take its consideration of the rules beyond a very superficial level—despite evidence to the contrary. Moreover, the ALJ seems to have been confused as to the nature of the role of the CCM pool and the individual carrier. The Commission has expressed support for grey interoperable chassis pooling arrangements, such as those organized by OCEMA in Savannah and Memphis, but the ALJ apparently assumed that the pool owner in the case of the CCM pools can actually dictate to each ocean carrier what should be in the carrier’s usage contract with the IEP. In the theoretical world imagined by the ID, it is unclear how such a requirement would be imposed and enforced. Would the pool order the carrier to have enough chassis to meet all CH and MC needs, but prohibit it from finding a way to pay for that or cover its enormous liabilities for MH volumes—liabilities that no other party is willing to assume? The choice rules were designed to avoid the pool dictating commercial issues to pool participants. The rules thus allow each individual ocean carrier to negotiate its own contract with an IEP based on its customer needs and its individual operational requirements, so long as its IEP contributes sufficient chassis to handle the carrier’s cargo volume. The implication of the ID is that the pool could mandate

¹¹ The fact that Rule 5.7 is not an agreement to require approval of choice requests is reflected by the fact that many carriers allow choice without prior approval. CX00001545-49; Coates Declaration, ¶ 21.

hundreds of millions of dollars in costs for ocean carriers and IEPs but prohibit them from finding a means to cover such costs. No carrier or IEP would participate in such a pool.

2. The Analysis Of The Pool of Pools Is Flawed

Summary judgment in favor of IMCC is improper because the ID's analysis of the Pool of Pools ("POP") is flawed.

The ID finds that the POP was founded and operated by three IEPs and that the box rules applied in the POP are established by the IEPs. ID at 54.¹² Nonetheless, the ID concludes that the box rules established by the IEPs with respect to the POP that the IEPs operate constitute unreasonable conduct on the part of the Respondents. The ID concludes the IEPs' behavior constitutes a violation because the POP can only operate in this manner because of the consent of the ocean carriers. ID at 54. This conclusion is unsupported by any facts in the record and is incorrect.

There are no agreements between multiple ocean carriers on the one hand and a single IEP on the other hand, nor is there any evidence that such contracts are entered into based on group negotiations. All chassis usage agreements are negotiated on a one-on-one basis by the involved ocean carrier and IEP. In such contracts, the IEP typically requires the ocean carrier to designate a provider for purposes of the POP. This is not a rule developed by ocean carriers, it is a requirement of the POP developed by the IEPs. ID at 54. Moreover, if the chassis usage agreements between the ocean carriers and chassis providers did not designate the chassis provider as the preferred or exclusive provider of the ocean carrier,¹³ nothing in the Shipping Act would preclude the IEPs from establishing alternative methods of allocating MH chassis usage that would

¹² This further reinforces the fact that Rule 5.7 specifically permits rather than restricts choice, since the POP is not a CCM pool and is not subject to Rule 5.7.

¹³ Another one of the many internal inconsistencies in the ID is that chassis usage agreements designating a preferred provider are reasonable except, apparently, in Los Angeles/Long Beach.

have a similar effect. In other words, the ID's conclusion that motor carriers would have absolute freedom of chassis choice in Los Angeles/Long Beach but for the provisions of the existing chassis usage agreements is both incorrect and totally unsupported by any facts in the record.

3. The ID's Treatment Of Chassis Costs Is Inconsistent

One of the issues in this proceeding is the impact of chassis choice on the cost of chassis used for MH moves. The ID is internally inconsistent, finding both that a lack of choice increases costs and that it does not.

The ID appears to conclude that restrictions on the ability of motor carriers to select the chassis provider for MH moves restricts the market for such chassis, thereby increasing the costs to motor carriers for MH chassis. This appears to be one of the reasons the ID finds Respondents' alleged practices to be unreasonable. ID at 47. At the same time, however, the ID finds that freedom of choice may bring about higher costs for MH chassis. ID at 35.

Leaving aside for the moment the failure of the ID to find any facts with respect to the frequency with which choice is requested or granted, this inconsistency with respect to the purported impact of choice (or lack thereof) on chassis costs indicates that there is no meaningful analysis of this issue in the ID. If allowing choice could increase motor carrier costs as the ID finds on p. 35, why is the status quo unreasonable as found on page 47? In order for conduct to be unreasonable, it must have some detrimental effect. ID at 13. Here, there has been no such finding and the grant of summary judgment is inappropriate.

Moreover, the finding that chassis costs may be higher with choice than without (ID at 35) suggests that there is in fact no causal connection between choice and costs, a suggestion that is

consistent with the findings of Respondents' expert¹⁴, and which further undermines the credibility of the ID and precludes the grant of summary judgment.

4. Chassis Charges Are Not Subject To The Incentive Principle

The ID incorrectly applies the so-called incentive principle to chassis charges.

The ID finds that in order for chassis charges to be considered tailored to meet their intended purpose, the charges must incentivize the efficient flow of cargo. ID at 36. This legal finding is a misapplication of a legal principle not relevant to this proceeding. Moreover, it would take the FMC down a road of reviewing every carrier and marine terminal operator charge, rate, investment, and operational arrangement based on a centralized planning concept completely alien to the regulatory statute under which the FMC regulates liner shipping.

The Commission has determined that a central element in analyzing the reasonableness of demurrage and detention charges is the extent to which the charges serve their intended primary purpose as financial incentives to promote freight fluidity. 46 C.F.R. §545.5(c)(1). This FMC position is based on the notion that the primary purpose of demurrage and detention is to incentivize shippers and motor carriers to pick up cargo and return equipment in a timely fashion. Chassis usage charges are not demurrage or detention charges – they compensate the equipment provider for use of the equipment and are not intended as a financial incentive to promote freight fluidity. Therefore, analyzing the reasonableness of chassis charges through the lens intended for the analysis of demurrage and detention charges is improper and does not support a grant of summary judgment in favor of Complainant.

¹⁴ Reitzes Declaration, ¶ 38 (no statistically significant impact on daily chassis usage prices associated with Choice for any individual trucker in any geographic pool area).

III. THE ID ERRED IN FINDING THE FMC HAS JURISDICTION

The ALJ has made the following rulings with respect to subject matter jurisdiction during the course of this proceeding:

- Denied Respondents’ Motion to Dismiss at the inception of this case based solely on the finding that “Complainant makes a plausible case of jurisdiction by alleging that ocean carriers affect and exert control over chassis availability through their regulations and practices. Accepting the allegations in the complaint as true, subject matter jurisdiction is sufficiently alleged.” (November 18, 2020 “Order Denying Motion to Dismiss” at 4). In the ID, the ALJ continues to incorrectly apply the standard applicable to a motion to dismiss to the Respondents’ motion for summary judgment, by improperly accepting the IMCC’s allegations as true.
- Denied Respondents’ Motion for Leave to Appeal, finding “to the extent that agreements between regulated entities implement regulations and practices regarding the receiving, handling, storing and delivery of property that are shown to violate the Shipping Act, the Commission has jurisdiction over those claims.” (January 29, 2021 “Order Denying Motion For Leave” at 6);
- Denied Respondents’ Motion for Summary Judgment seeking dismissal based upon the lack of subject matter jurisdiction, finding “the Commission has jurisdiction over Respondents’ practices as Respondents are regulated entities alleged to have violated the Shipping Act.” (ID at 25)

Respondents except to the ALJ’s ruling and urge the Commission to reverse it, because subject matter jurisdiction must be considered at all stages of a proceeding, and “the party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter

jurisdiction.” *Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC*, 2019 FMC LEXIS 109, at *3 (ALJ Oct. 8, 2019); *Arbaugh v. YH Corp.*, 546 U.S. 500, 506-7 (2006) (subject matter jurisdiction may be raised at “any stage in the litigation”).

A. Kirby Does Not Support the Exercise of Jurisdiction by the Commission

The ALJ erred in relying upon *Norfolk S. Railway Co. v. Kirby*, 543 U.S. 14 (2004) (“*Kirby*”) in support of her holding, a case which involved the extension of defenses under the U.S. Carriage of Good By Sea Act, 46 U.S. 1300, *et seq.* (“COGSA”)¹⁵ to an ocean carrier’s subcontractor pursuant to a Himalaya clause¹⁶ in the ocean carrier’s bill of lading. Notably, *Kirby* did not involve the application of the Shipping Act, and the case was not heard by the Commission but was venued before our federal courts. *Kirby* was based upon federal maritime jurisdiction which has never been equated with Shipping Act jurisdiction. Indeed, the Commission has specifically found that it does not have jurisdiction over disputes involving COGSA. *Definition of “Package” Under the Carriage of Goods By Sea Act*, 23 S.R.R. 111 (FMC, 1985) (“COGSA is not a statute which has been delegated to the Commission for its administration.”) *Id.* at 113. A closer examination of the facts and the rulings in *Kirby* confirms that the ALJ’s reliance on that case, in support of the conclusion that the Commission’s jurisdiction extends to MH inland carrier transit, is misplaced, inaccurate, and does not support the ALJ’s finding that the Commission has subject matter jurisdiction over chassis moving with a motor carrier under MH terms.

Kirby involved machinery that was damaged during the rail leg of an international transit which began in Sydney, Australia, and ended in Huntsville, Alabama. The core issue that was

¹⁵ In October, 2006, the substantive provisions of codified admiralty law were reenacted from the Appendix of Title 46 of the U.S. Code. COGSA was relocated to §30701; however, for the sake of consistency, we will cite to the original statute citations as they are referenced in *Kirby*.

¹⁶ As briefly discussed by the Supreme Court in *Kirby*, the Himalaya clause is a long-established principle under maritime law, derived from an English case involving a vessel named *Himalaya*. A properly drafted Himalaya clause, incorporated in an ocean bill of lading, will extend the defenses and liability limitations available to the ocean carrier under COGSA to the ocean carrier’s subcontractors. *Kirby*, at 36, footnote no. 2.

dealt with by the District Court, the 11th Circuit Court of Appeals, 300 F.3rd 1300 (11th Cir. 2002) and the Supreme Court, was whether the Himalaya clause in the ocean carrier's bill of lading extended COGSA's \$500 package limitation defense to the defendant railroad, Norfolk Southern, as a subcontractor of the ocean carrier.

The District Court granted partial summary judgment in favor of Norfolk Southern, holding that the railroad's liability was limited to \$500 per package after finding that COGSA's defenses had been properly extended to the ocean carrier's subcontractors, such as Norfolk Southern, by the Himalaya clause in the ocean bill of lading. The 11th Circuit reversed, holding that the ocean carrier bill of lading had been issued to an intermediary freight forwarder and not the cargo owner, Kirby; and that the wording of the Himalaya clause in the ocean carrier's bill of lading was not sufficiently broad enough to extend COGSA defenses to the railroad. 300 F.3rd 1300 (11 Cir. 2002). The Supreme Court reversed.

The Supreme Court rejected the Plaintiff's assertion that jurisdiction over the railroad was based on diversity noting that the "primary objective" of the ocean carrier's bill of lading was to transport goods by sea from Australia to the east coast of the United States and that the final leg involving rail transit "does not alter the essentially maritime nature of the contracts." *Id.* at 24. The Supreme Court's ruling that the claim against the railroad was governed by Admiralty law, and more specifically by COGSA which the bill of lading extended to the period when the shipment was in the custody of the railroad, thus preempted the state law claims that the plaintiff in *Kirby* sought to assert. The case involved the Court's interpretation of the scope of COGSA – a statute that ratified the Hague Rules of 1924 (formerly the International Convention for the Unification of Certain Rules Relating to Bills of Lading), thereby implementing an international treaty obligation.

It is this holding which the ALJ has improperly applied in finding that the Commission has subject matter jurisdiction over chassis moving over land under MH terms.

The record in *Kirby* does not state whether the shipment at issue in that case was moving under CH or MH terms, as this was not relevant to the damage which occurred during the rail leg (Savannah to Huntsville), a part of the transit which was specifically covered by the ocean carrier's bill of lading and to which COGSA was applicable pursuant to the bill of lading's Himalaya clause.

If the shipment had been moving under MH terms, and the damage had occurred while it was being transported by a motor carrier from the rail terminal in Huntsville to the consignee's place of business, there is no question that the court would have found that delivery by the ocean carrier had occurred at the railroad's Huntsville terminal, the transit under the ocean bill of lading was completed at the time the shipment was delivered to the motor carrier, and the ocean carrier's obligation under the bill of lading had ended. Any damage which occurred thereafter would no longer be subject to Admiralty jurisdiction but, instead, subject to state law governing the intrastate transportation of cargo by motor carriers. *Swift Textiles, Inc. v. Watkins Motor Lines, Inc.* 799 F.2d 697 (11th Cir. 1986) (following ocean carrier's delivery of shipment moving under ocean through bill of lading, the liability of the motor carrier is governed either by state law or the Carmack Amendment, 49 U.S.C. §20(11)),¹⁷ citing *Reider v. Thompson*, 339 U.S. 113 (1950) (following delivery by ocean carrier, a domestic interstate shipment moving from New Orleans to Boston was governed by Carmack Amendment).

Notably, there is no language in *Kirby* which suggests that Admiralty jurisdiction would continue to apply after the consignee's motor carrier takes delivery of the shipment from the ocean

¹⁷ The Carmack Amendment was re-codified at 49 U.S.C. § 11706 with the enactment of the I.C.C. Termination Act of 1995. The latter replaced the Interstate Commerce Commission with the Surface Transportation Board, but the provisions of the original Carmack Amendment were largely unchanged.

carrier on MH terms and the ocean carrier's responsibility for that shipment has ended. The court simply interpreted the extension of liability limits under the bill of lading during the rail leg of the transit, which was covered by the ocean carrier's bill of lading. But that is precisely the misinterpretation which the ALJ has incorrectly superimposed on this case.

The ALJ's finding that "*Kirby* showed that a through bill of lading can pull domestic transport into the Commission's jurisdiction" (ID at 24) is a misstatement of the Court's holding in *Kirby* and an unsupported extension of Commission jurisdiction based on a case involving Admiralty jurisdiction. Admiralty law only applies to an inland movement under a through bill of lading if the inland transit is specifically covered or provided for by that bill of lading (the Savannah/Huntsville rail transit in *Kirby* was so covered); and there is a properly worded Himalaya clause which extends Admiralty jurisdiction (i.e., COGSA and its defenses) to the inland carrier. The basis for this jurisdiction is Article 3, section 2 of the U.S. Constitution and an international treaty (Hague Rules of 1924), the ratification of which was COGSA. *Kirby* was not interpreting the Shipping Act or the jurisdiction of the Commission.

There was no language in *Kirby* extending Admiralty jurisdiction to the motor carrier's usage of chassis under MH terms. Nor could it do so because MH transport involves an inland transit by a motor carrier that is not acting as a subcontractor for the ocean carrier, at a time when coverage under the ocean bill of lading has ended and Admiralty jurisdiction no longer applies.

The ALJ's finding that *Kirby* supports the exercise of jurisdiction over the use of chassis moving under MH terms is mistaken, and her finding should be reversed.

B. *Kirby* Does Not Extend Authority to the Commission to Regulate Chassis Moving Under MH Terms

In contrast to the inland transportation services provided under *Kirby*, which properly invoked Admiralty jurisdiction, the transportation services at issue in this case concern the

provision of chassis for use in domestic inland movements, which take place after the ocean carrier's obligation under its ocean bill of lading has ended. The ALJ acknowledged the limitation on the Commission's jurisdiction (ID at 7) but has chosen to nevertheless extend such jurisdiction to operations which are not subject to the Shipping Act. Ocean carriers, motor carriers and IEPs can all be parties to chassis usage agreements, but chassis are transported domestically by the motor carriers.

Neither the IEPs nor the motor carriers are persons covered by the Act, and there is no authority to support the Commission's regulation of chassis utilization. Indeed, the Commission has previously recognized that there are limitations on its jurisdictional reach:

The unjust and unreasonable practices condemned by section 17 are those, in the words of the statute, 'relating to or connected with the receiving, handling, storing, or delivering of property.' The practices that are intended to fall within the coverage of this section are shipping practices. It is these practices and only these that were assigned to the special expertise of the Agency. Thus, it might be an unreasonable practice for respondent negligently to stow bricks on a high shelf so that they repeatedly fell on the heads of complainant and others...but it could not be seriously contended that this practice would constitute a violation of section 17 even though it is unjust and involves the storing of property. *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 417, (1962)

Taken to its logical conclusion, the exercise of subject matter jurisdiction over the contractual relations between Respondents and non-party IEPs regarding the supply of chassis that move on MH terms would suggest the Commission could regulate contracts between Respondents and container lessors or Respondents and bunker suppliers if it is alleged that such contracts bore some relationship to or had some impact on receiving, handling, storing or delivering property.

The ALJ's ruling presents convoluted results. The ruling dictates that carriers can be found in violation by designating preferred chassis providers for MH movements and be ordered to cease such activity. The consequence of such a finding is to divest carriers from such IEP agreements concerning MH movements and to direct motor carriers and IEPs, neither of whom is subject to

FMC jurisdiction, to contract for such MH services. In other words, the FMC is ordering ocean carriers to cease ensuring the sufficient availability of chassis in MH movements and to direct persons not subject to FMC jurisdiction to undertake such activity, a power not within the FMC's statutory authority. The FMC is not empowered by Congress to seize jurisdiction and then to discard it. Moreover, the FMC lacks authority to prescribe or order regulations or practices upon a finding of a violation under §41102(c) unlike its predecessor Section 17, Shipping Act 1916, which was authorized to do so upon a finding of a violation. The result of the ID's decision is to necessitate that persons not subject to FMC jurisdiction enter into contracts or arrangements for MH movements.

The Commission has recently shown interest in the utilization of chassis and their importance in facilitating the inland transportation of containers. However, the Commission is constrained by the jurisdictional authority it has been delegated. Indeed, the Commission has recognized that the Shipping Act's primary purpose is to protect customers of the shipping industry and not members of the industry. *See Boston Shipping Association v. F.M.C.*, 706 F. 2d 1231, 1238 (1st Cir. 1983) and *New York Shipping Association v. F.M.C.*, 854 F. 2d 1338, 1374 (D.C. Cir. 1988), cert. denied, 488 U.S. 1041 (1989). Legislative intent of the 1984 Act underscores this primary purpose: minimizing regulation and government involvement in shipping operations with the primary role of the Commission to be protecting carriers, shippers and ports from unfair or discriminatory practices. Shipping Act, Section 2 (46 U.S.C. §40101). Motor carriers, like railroads, are surface transportation providers. As such, they are not within this zone of protection. Railroads, like motor carriers, transport containers with cargo moving under MH terms. Does the Commission view its role to include the protection of railroads from ocean carriers as well? The answer to this rhetorical question, which would undoubtedly be met with a resounding "no",

should apply equally to motor carriers.

McKenna Trucking Company v. A.P. Moller-Maersk Line and Maersk Incorporated, 27 SRR 1045 (ALJ 1997); Administratively Final: June 23, 1997; Complaint Dismissed, 27 SRR 1343 (ALJ 1997); Administratively Final: September 16, 1997 (“*McKenna Trucking*”), which was discussed in detail in Respondent’s MSJ and is incorporated herein by reference, supports the proposition that the Commission lacks authority to regulate relationships between ocean carriers and unregulated members of the industry, such as motor carriers and railroads, even when there are allegations of unlawful, prejudicial and discriminatory conduct under the Shipping Act.

The *McKenna Trucking* decision underscores this reality that not all complaints are actionable at the FMC. Merely alleging wrongdoing by ocean carriers does not unilaterally transform a trucker’s grievance into an FMC jurisdictionally acquired complaint. This is particularly so when ocean carriers are divested of their transportation responsibilities dictated by carriage terms vesting inland movements solely under the control and expense of U.S. consignees/shippers (MH movements). It is U.S. shippers and consignees that negotiate their terms of carriage and who ultimately pay chassis charges.¹⁸ The million pages of documents produced in this proceeding by all parties fail to reveal a single page of evidence by any shipper/consignee complaining or seeking redress over the payment of chassis usage by the trucker that the shipper/consignee ultimately bears.

Apparently relying upon a misunderstanding of *Kirby*, the ALJ has misapplied its holding and improperly expanded the Commission’s authority; however, as clarified above, *Kirby* does not support the imposition of subject matter jurisdiction over chassis provision and MH transportation, which is purely domestic.

¹⁸ Truckers pass on to shippers/consignees the chassis charges they incur, most often inflating these chassis charges resulting in truckers enjoying a financial windfall. *Supra*, at 18.

The ALJ's finding that the Commission has jurisdiction over Respondents' practices, and her denial of Respondents' Motion for Summary Judgment seeking dismissal and granting of the Complainant's Motion for Summary Decision, should accordingly be reversed.

IV. THE ID ERRED IN FINDING THE CHASSIS PROVIDERS ARE NOT NECESSARY AND INDISPENSABLE PARTIES

The ID erred by finding that the IEPs are not necessary and indispensable parties. At the outset of this proceeding, Respondents filed their Motion to Dismiss, including for failure to join necessary parties. By Order dated November 18, 2020, the ALJ denied Respondents' Motion to Dismiss on that ground, finding that "[i] appears that the requested remedy directly impacts only the parties appearing in the proceeding." November 18, 2020, Order at 6. Further, by Order dated January 29, 2021, the ALJ denied Respondents' Motion For Leave to File Interlocutory Appeal, stating that the contracts between the ocean carrier Respondents and the IEPs were not before her.¹⁹ January 29, 2021, Order at 7. The parties then conducted extensive discovery, including the production of Respondents' chassis usage agreements with the IEPs and, during depositions of Respondents, the terms of these agreements were subject to intense examination by IMCC. Those agreements, which are attached to the JSF and are now part of the record in this proceeding, demonstrate the central and dominant role that the IEPs play in the chassis supply market by making available assets to allow the delivery of the containers owned by the ocean carrier Respondents. *See, e.g.*, APP0102-04; APP0477-88; APP0557-74. However, despite this compelling evidence, the ID erroneously found that "Respondents have not carried their initial burden of demonstrating that the IEPs are necessary parties." ID at 27.

¹⁹ The Order states: "The complaint focuses on the OCEMA and CCMP agreements, CCMP operations manual, and ocean carrier regulations and practices, and not on contracts between ocean carriers and chassis providers. Indeed, the complaint does not cite provisions in chassis provider contracts and no contracts between ocean carriers and chassis providers are currently part of the record."

A. The Chassis Usage Agreements Are Central to This Proceeding

In its Complaint, IMCC deliberately phrased and presented its claims in a manner that primarily focuses on ocean carrier Respondents as customers of the IEPs and obscures and downplays the predominant involvement of the IEPs as owners of the assets and their central role in structuring contracts for all chassis users. Indeed, IMCC's Complaint alleges:

1. "Notwithstanding that OCEMA members do not themselves own chassis, OCEMA members control the operation of chassis pools at ports and intermodal terminals nationwide through . . . their contracts with equipment providers." Complnt., ¶ 3.
2. "OCEMA, its affiliates, and its members and signatories to the CCMP Agreement, have exercised this unlawful control in violation of their Shipping Act obligations by . . . Soliciting proposals for and entering into IEP contracts in which the ocean carrier designates an IEP as its default provider for haulage of containers when a motor carrier is billed for usage." Complnt., ¶ 3(e).
3. "At present, three major IEPs lease chassis to ocean carriers and motor carriers: TRAC Intermodal, Direct ChassisLink Inc. and Flexi-Van, as well as several smaller providers." Complnt., ¶ 29.
4. Respondents "mandate that IEPs enter into contracts that compel IEPs to overcharge motor carriers for chassis for MH movements." Complnt., ¶ 47.
5. "Through these contracts, respondent ocean carriers eliminate competition for MH chassis nationwide by awarding such chassis contracts to IEPs on the basis of CH *alone* even though the winning contractor is designated as the default provider for *both* CH and MH chassis." Complnt., ¶ 48.
6. "[R]espondent ocean carriers cite their designation of an IEP as the default chassis provider as the reason for denying chassis choice." Complnt., ¶ 49.
7. "Respondent ocean carriers further restrict chassis choice at non-CCM ports and terminals through box rules that assign chassis 'usage' and thus reimbursement to their designated IEP rather than to competing chassis providers." Complnt., ¶ 50.

The ID simply disregarded substantial evidence to the contrary on each of these points.

Like IMCC's Complaint, the ID primarily focuses on Respondents' business conduct and operations while largely ignoring the primary role played by the IEPs as major suppliers of chassis.

Thus, the ID incorrectly states that “this case is not about regulating non-FMC-regulated providers of chassis or IEPs.” ID at 22. Despite acknowledging Respondents’ assertion that “the IEPs, not the ocean carriers, contribute chassis to pools,” the ID summarily dismisses that key fact and concludes that “[t]he complaint’s focus is on the OCEMA and CCMP agreements, CCMP Operations Manual and ocean carrier regulations and practices.”²⁰ ID at 25, 27. However, the issue of whether the IEPs are necessary and indispensable parties is determined by the actual central role that the IEPs play in the chassis usage industry, not the distorted and self-serving spin on the facts that IMCC employs in its Complaint.

The substance of the ID focuses on Respondents and the **IEPs’** conduct pursuant to their chassis usage agreements but attempts to narrowly frame the issues as involving only Respondents’ actions by ignoring the IEPs’ primary role. The IMCC’s allegations that carriers control these contracts are controverted in multiple places by every ocean carrier customer that was deposed in this case. For the few locations in which a CCMP pool was in operation, the ID found that CCMP Rule 5.7 is unreasonable as a matter of law because “the limitations on motor carriers’ ability to choose their own chassis provider for MH [are] unreasonable.” ID at 42. The ID reads Rule 5.7 to mean that “both the ocean carrier and the IEP must approve choice” and “the ocean carriers are giving the selected IEP an exclusive right to provide chassis” ***pursuant to their chassis usage agreements***. ID at 36-37. The ID then ignores the IEPs’ central role in the challenged conduct by stating that “what is relevant is not whether an IEP may *also* act to block a motor carrier choice request under the present rule.” ID at 36.

²⁰ Contrary to IMCC’s allegations, the record demonstrates that CCMP, not OCEMA, sets the rules for the SACP and M CCP. In Memphis, the M CCP is one of three pools and has a minority market share. OCEMA has no involvement in the Chicago, LA/LB or other U.S. ports other than South Atlantic locations. CX00001544-45; CX00000465, Line 3 – 0466, Line 25; Coates Declaration ¶7; CX00000491-92; CX00001978.

The ID also minimizes the central role of the IEPs in operating the Pool of Pools (“POP”). The ID first notes that the Pool of Pools was “established by DCLI, TRAC Intermodal and Flexi-Van at the California ports of Los Angeles and Long Beach.” ID at 52. The POP was created and operated entirely by the IEPs, and OCEMA is in no way involved in its operation. The ID nonetheless exaggerates the incidental involvement of the ocean carriers as customers of a system they did not create or usage allocation rules they did not design by stating that “[u]sage of chassis in the POP is assigned to the IEP that has a contractual relationship with the ocean carrier whose container, or ‘box,’ is being moved.” *Id.* If an ocean carrier wanted chassis in LA/LB, how could they get chassis other than by contracting with an IEP who owned the assets?

The ID further acknowledges that “Respondents contend that they do not control chassis choice because IEPs may separately veto choice requests” *pursuant to their chassis usage agreements*. However, the ID dismisses that fact on the grounds that “any veto right that IEPs may also possess (in addition to the ocean carriers’ veto right) is an ability that the ocean carriers have provided contractually or by other agreement.” ID at 39. Indeed, the ID expressly recognized that the ruling was directed at the IEPs’ central role in the challenged practices by forbidding Respondents to “alter the rights of motor carriers through contracts or agreements to which the motor carriers are not parties, thereby giving IEPs the right to veto motor carriers’ MH choice requests.” ID at 40.²¹

The ID granted IMCC’s Motion For Summary Judgment, in part, and ordered that Respondents “shall not take any action which limits a motor carriers’ ability to utilize the chassis

²¹ The ID failed to acknowledge that there are IEP agreements with one or more carrier Respondents that do not confer “veto” power on the IEPs. This factor underscores the ALJ’s failure to evaluate the terms and conditions of each Respondent’s agreement with an IEP and how such terms and conditions may differ materially from one IEP agreement to another. This failure constitutes a significant defect and reversible error in the ALJ making collective findings of violations by Respondent carriers and depriving each Respondent carrier of individual findings based on significant differences in their IEP agreements and alleged resulting conduct.

provider of their choice for MH [and] . . . shall not extend or continue their contracts with an IEP in the POP while motor carriers cannot unilaterally elect a different IEP of their choice for MH.” ID at 55. The ID further ordered that within 30 days of the date the decision becomes final, Respondents shall cease and desist from violating the Shipping Act in Chicago, Los Angeles/Long Beach, Memphis and Savannah by ceasing and desisting adopting, maintaining and/or enforcing any regulations or practices that limit the ability of a motor carrier to select the chassis provider of its choice for merchant haulage. ID at 61. The ID thus granted IMCC a key portion of the relief sought in its Complaint, all of which directly involves the IEPs’ supply of chassis pursuant to their contracts with Respondents and directly, immediately, adversely and dramatically affects the IEPs’ finances and business affairs and operations and their chassis supply contracts with Respondents. The ID acknowledges that “[i]t is possible that this proceeding could have an impact on ocean carrier contracts with chassis providers if a violation of the Shipping Act is found.” ID at 27. However, the ID then summarily dismisses that fact without any further analysis or explanation, merely stating that “that possible impact does not equate to [the IEPs] having status as ‘necessary’ parties.” ID at 27. As discussed in the following section, the ID’s approach to the IEPs’ role is completely at odds with applicable precedent on the joinder of parties.

B. The Legal Analysis of the ID is Flawed

The ID notes that the Supreme Court rejected the argument that “in any case where an outsider ‘may be affected’ it is necessarily unjust to proceed” in that party’s absence, citing *Provident Tradesmens Bank & Trust Co. v. Patterson*, 390 US. 102, 123 (1968). However, that comment misstates Respondents’ position, which is not that the ruling will have an indirect or incidental effect on the IEPs’ finances and business operations. Rather, the ruling will have a direct, immediate, adverse and dramatic impact on the IEPs’ finances and business affairs and operations and their chassis supply contracts with Respondents.

The ID acknowledges Respondents' concern that "ocean carriers' relationships with IEPs are governed by separate chassis usage agreements between those parties, that ocean carriers therefore owe legal duties and obligations under those agreements and that in the event that the Commission grants the relief requested the ocean carriers would be in material default under their chassis usage agreements with IEPs." ID at 28. However, the ID then summarily dismisses those circumstances, stating that "it is circular to argue that contracts derived from practices which may be in violation of the Shipping Act may be used to justify the preservation of those practices." ID at 28. This statement ignores and misstates Respondents' position. Respondents are not seeking to avoid review of their conduct by pointing to their IEP contracts. ID at 28. Rather, Respondents are arguing that, under federal law, the IEPs are necessary and indispensable parties under Rule 19 because finding that Respondents have violated the Shipping Act will have a direct, immediate, adverse and dramatic impact on the IEPs' finances and business affairs and operations. *See, e.g.*, ID at 55. Therefore, Respondents contend in equity and good conscience that this proceeding should be dismissed because the IEPs will be severely prejudiced by the ID, that prejudice has not been and cannot be lessened or avoided by protective provisions, the shaping of relief, or other measures. Further, IMCC has not demonstrated that there is no other venue before which it may avail itself to prevent injustice to non-parties.

The ID states that ocean carriers "may not be allowed to evade review of their conduct simply by entering into contracts with unregulated third parties," citing *Sealand Serv., Inc. & Gulf Puerto Rico Lines v. Proposed Rules on Containers*, 21 F.M.C. 1 (FMC 1978). ID at 28. However, the holding in *Sealand* is inapposite. In *Sealand*, the Commission affirmed the ALJ's Initial Decision finding that tariff rules implementing collective bargaining provisions violated the Shipping Act. The Commission did not find that it had jurisdiction over the collective bargaining

agreement itself. 21 F.M.C. at 4, unlike the ID, which asserts jurisdiction over the chassis usage agreements.

The ID cites “*50 Mile Container Rules*” *Implementation by Ocean Common Carriers serving U.S. Atl. and Gulf Coast Ports*, 24 S.R.R. 411, (FMC 1987), in support of the proposition that “[t]he Commission has also demonstrated it is willing and able to provide relief in the form of orders that would necessarily result in the need for the regulated party to alter separate contracts.” ID at 28. However, the circumstances present in *50 Mile Container Rules* were fundamentally different in two important respects. First, in *50 Mile Container Rules*, the union that was party to the collective bargaining agreement with the ocean carriers intervened in the proceeding and was before the Commission, which the IEPs are not. It is one thing to order two parties to a proceeding to alter their contract — it is quite another matter to impose such an obligation on a non-party, which is precisely what the rule and case law on non-joinder seek to prevent.

Second, the Maritime Labor Agreements Act gave the FMC jurisdiction over: “any rates, charges, regulations, or practices of a common carrier by water or other person subject to [the 1916] Act which are required to be set forth in a tariff, whether or not such rates, charges, regulations, or practices arise out of, or are otherwise related to, a maritime labor agreement” 24 SRR at 439

That provision of the MLAA was intended to protect shippers, carriers and localities. 24 SRR at 440. Here, we are not dealing with a tariff provision over which the Commission has been given jurisdiction by statute.

Further, the ID’s reliance on the *50 Mile Container Rules* holding also is misplaced since delaying the effective date of the ID in this matter does not ameliorate the dramatic adverse effect that this ruling, which was made without the participation of or input by the IEPs, will have on the

IEPs' finances and business affairs and operations. These are companies that have invested billions of dollars in chassis assets and assume hundreds of millions of dollars in operating costs for same in key intermodal locations in the U.S., and the ID quite simply eviscerates a fundamental part of their business model of placing chassis in all key intermodal locations (marine, rail, CY), sufficient to meet an ocean carrier customer's total CH and MH cargo volume, based on financial compensation provided for in the customer's chassis supply contract. It is beyond dispute that this decision will more fundamentally affect the businesses of the IEPs than that of the ocean carriers. Further, as Respondents explained in their Response to IMCC's Motion, the ID may subject them to liability to the IEPs for breach of the chassis supply agreements. How are the ocean carriers supposed to change contracts with unregulated entities which remain enforceable by parties who are neither regulated nor parties to this case?

The ID fails to understand and disregards the far-reaching consequences that ordering cessation of activity under the IEP agreements will have potentially on US shippers and consignees. These US shippers and consignees rely on the guarantee of sufficient chassis contractually obligated to be made available through arrangements between the IEP and the carriers. U.S. shippers and consignees are likely to be severely, negatively, and financially impacted by the prospects that their shipments may fail to reach them in a timely, efficient, and cost-effective manner without the guarantee of chassis contractually obligated to be made available through arrangements between the IEP and the carriers. Without the input of the IEPs participating in this proceeding, the U.S. shippers and consignees will likely be deprived of necessary chassis to the detriment of U.S. commerce.²²

²² Approximately half of all containers in the U.S. commerce are moved under MH terms of transportation.
CX00001538

In their Motion, Respondents explained that “[i]t is well settled that in an action to **set aside** a contract, all parties to the contract must be present,” citing *Natural Resources Defense Council*, 539 F. Supp. 2d 1155, 1185 (E.D. Cal. 2013) (emphasis added). The ID attempts to distinguish that authority by pointing out that “[i]t is generally recognized that a person does not become indispensable to an action to determine rights under a contract simply because that person’s rights or obligation under an entirely separate contract will be **affected** by the result of the action,” citing *Ferrofluidics Corp. v. Advanced Vacuum Components, Inc.*, 968 F.2d 1463, 1472 (1st Cir. 1992) (emphasis added). ID at 29. However, the ID does not merely affect the IEP’s chassis usage agreements with Respondents, it effectively **voids** them without the participation of or input by the IEPs. ID at 55. A number of the chassis usage agreements have several years remaining in their terms. *See, e.g.*, JSF 229 (contract runs through June of 2026) and JSF 239 (contract runs through October of 2029).²³

The allegations of the Complaint, the findings of the ID, and the facts highlighted by Respondents all establish that the IEPs are necessary parties under Rule 19(a) since: (1) the Commission cannot afford complete relief among existing parties in their absence; (2) the IEPs claim an interest relating to the subject of the action and disposition of the action in their absence may: (a) as a practical matter impair or impede the IEPs ability to protect their interest; or (b) leave Respondents subject to a substantial risk of incurring double, multiple or otherwise inconsistent obligations because the contracts at issue remain enforceable. The ID impairs and impedes the IEPs’ ability to protect their contractual and business interests by forbidding Respondents to “take any action which limits a motor carriers’ ability to utilize the chassis provider of their choice for MH” or “extend or continue their contracts with an IEP in the POP while motor carriers cannot

²³ These exceptions refer to submissions in this proceeding using the abbreviations set forth in Appendix A of the ID.

unilaterally elect a different IEP of their choice for MH.” ID at 55. Further, due to their inability to perform their chassis usage agreements with the IEPs, Respondents are subject to a substantial risk of incurring double, multiple or otherwise inconsistent obligations in the event that the IEPs seek to enforce those agreements or potentially losing access to chassis needed to carry out their contracts with customers.

The ALJ further erred by finding that “even if chassis providers were necessary and their joinder were not feasible, the Federal Rule 19(b) factors – prejudice, shaping relief, adequate relief and alternative forum – weigh in favor of continuing the proceeding” since “no other venue would be able to adjudicate it’ and “any prejudice may be lessened or avoided by shaping any relief ordered.” ID, at 28. However, while the ID acknowledges the objective of adjusting any relief to minimize prejudice to the IEPs, it actually accomplishes just the opposite result.²⁴

Respondents have established that this action should be dismissed because the IEPs are “indispensable” parties under Rule 19(b).

V. COMPLAINANT DOES NOT SEEK DAMAGES IN THIS PROCEEDING

The ALJ, in Section E of the ID (“Conclusions and Remedy”, ID at p. 57), states: “It is not clear whether IMCC intends to seek reparations at a later date or if all it would be seeking in this proceeding is a cease-and desist order.” There is no lack of clarity on this issue, and no need for the ALJ to consider “(w)hether reparations are appropriate...if the issue is properly raised.” ID at p. 57.

In its Initial Disclosures, Complainant represented “Pursuant to 46 CFR §502.141(b)(3), the IMCC hereby discloses that it is not claiming damages in this case...” This representation was reiterated in the Complainant’s opposition to Respondents’ MSJ: “...IMCC seeks only cease-and-

²⁴ While the FMC may have exclusive jurisdiction over Shipping Act claims, IMCC has not shown that it does not have causes of action under other laws in other fora.

desist relief, and so the Presiding Officer need not resolve any factual disputes as to the amount of damages.” RMSD/COpp at p. 20.

Complainant alleges that it has “associational standing to bring this Complaint.” Complaint, ¶7. However, the FMC has uniformly prohibited associations from suing for reparations on behalf of their members in a representative capacity. *See, e.g., International Freight Forwarders & Customs Brokers Association of New Orleans, Inc. v. Latin American Shipping Services Association, et al.*, 27 S.R.R. 392, 400 (ALJ 1995); *Consumer Electronics Shippers’ Association v. Asia North America Eastbound Rate Agreement*, 26 S.F.R. 341, 346 (ALJ 1992)(associations may not sue for non-monetary relief on behalf of their members); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 675, 695-696 (ALJ 1990)(claims of individual NVOCC complainants dismissed because complainant association could not sue on their behalf), overturned on other grounds, 25 S.R.R. 982 (FMC 1990). It was inappropriate and unreasonable for the ID to enter into speculative issues specifically disclaimed in this proceeding and is further evidence of the complete disregard for the standards for an MSJ applicable in FMC proceedings.

VI. CONCLUSION

The ID should be reversed and the Complaint dismissed on the grounds that (1) the Commission does not have subject matter jurisdiction over the matters alleged therein; or, (2) that the IEPs are necessary and indispensable parties over which the Commission does not have jurisdiction. Alternatively, the ID should be reversed and the case remanded to the ALJ for a hearing on the merits at which she should be directed to apply the “end in view” standard and to resolve the numerous material issues of fact identified herein.

Respectfully submitted,
Dated: March 7, 2023

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CERTIFICATE OF SERVICE

I certify that, on March 7, 2023, a true and current copy of the foregoing Respondents' Exceptions to Initial Decision Partially Granting Summary Judgment was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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